

it would produce wildly proliferating offspring. Thousands of new comers opened accounts. Brokerage firms expanded with quixotic optimism.”

As I write this (May 2010), the market is buoyant after two years of being in the doldrums. Experts are prophesying with gay abandon, “The market will grow to 20,000 by Diwali.” Another says, “The market (Sensex) will rise to 30,000 by June 2012.” These are numbers taken out of a hat. They have no logic. They have no credibility. Yet, there are so many gullible investors who, fuelled by greed, buy high and then live to regret having done so. Human nature has not changed.

I’d like you to dwell for a moment on a thought by Harold Masur. He says:

“Bargains are available during times of extreme pessimism. Trouble is, when the so-called experts are wringing their hands, nobody has the courage to buy”.

Rothschild echoed this when he said, “Buy when there is blood on the streets.”

J. P. Morgan when asked once by an investor on his view of the market is said to have stated: “It will fluctuate.” Some will rise while others will fall. The aim of the investor must be to buy when the price is low and to sell when it is high.

Fundamental analysis is not for speculators. It is for those who are prepared to study and analyze a company; for those who arrive at a decision after careful thought and deliberation. Hegel once said, “To those who look upon the world rationally, the world in its turn presents a rational aspect.” Fundamental analysis is for the rational man.

This book is for the investor — be he or she an executive, a housewife, a professional, a student or a self-employed person. My aim is to introduce you to the world of information and analysis and to show you how one can arrive at a buy or sell decision. By doing so, I seek to discourage you from acting on rumours or tips and encourage you to go by hard facts.

However, the investor must be warned that the world is constantly changing as a consequence of which new situations arise which the investor must continuously monitor. Consequently, there is no fixed formula that will give one “wealth beyond belief”. If such a formula existed, I wouldn’t be writing this book. I would be out there in the market accumulating that wealth. Analysis and information give one the basis for a logical decision. There are other factors, especially the human factor, that are sometimes not logical and cannot be predicted.